

Applied Financial Accounting and ethics

INTRODUCTION TO ACCOUNTING

Accounting is the system of recording, classifying, summarizing, and communicating an organization's financial transactions to help stakeholders make informed decisions. It tracks a company's financial health by providing key information on assets, liabilities, revenues, expenses, and profitability. This process is essential for internal management, external investors, creditors, and government regulators.

Core functions

- **Recording:** Systematically and chronologically logging financial transactions in journals and ledgers.
- **Classifying:** Grouping similar transactions together, such as all purchase transactions in a purchase register.
- **Summarizing:** Condensing the classified data into reports, most commonly financial statements like the balance sheet and income statement.
- **Communicating:** Presenting the summarized financial information to various users through reports, statements, and charts.

Why it's important

- **Performance measurement:** It helps determine a company's profitability by calculating the net income (revenue minus expenses).
- **Financial position:** It provides a clear picture of a company's assets, liabilities, and owner's equity at a specific point in time.
- **Decision-making:** Internal users like managers and external users like investors and creditors use this financial information to make crucial decisions.
- **Compliance:** It ensures a business remains compliant with legal and regulatory standards and facilitates tax preparation.

Users of accounting information

- **Internal users:** Managers and employees use the information to make operational decisions.
- **External users:**
 - **Investors:** To decide whether to invest in the company.
 - **Creditors and banks:** To assess the company's ability to repay loans.
 - **Government and regulators:** To ensure compliance with tax laws and other regulations.

BASIC TERMS USED IN ACCOUNTING

Core elements

- **Assets:** Resources a company owns that have monetary value, such as cash, inventory, or equipment.
- **Liabilities:** What a business owes to others, including loans, accounts payable, and accrued expenses.
- **Equity:** The owner's stake in the company; calculated as Assets minus Liabilities.
- **Revenue:** The income a business generates from its primary operations, like sales.
- **Expenses:** The costs incurred by a business to generate revenue.

Transaction and bookkeeping terms

- **Debit:** An accounting entry that increases an asset or expense or decreases a liability or equity account.
- **Credit:** An accounting entry that increases a liability or equity or decreases an asset or expense account.
- **Double-entry bookkeeping:** A system where every financial transaction is recorded in at least two different accounts, with equal debits and credits, ensuring the accounting equation remains in balance.
- **Journal:** A book or digital system for recording daily financial transactions.
- **General Ledger:** A complete record of all financial transactions, organized by account.
- **Trial Balance:** A report that lists all the debits and credits in the general ledger to check if they are equal.
- **Accrual Accounting:** A method that records revenues when earned and expenses when incurred, regardless of when the cash is exchanged.
- **Cash Accounting:** A method that records transactions only when cash is received or paid out.

Financial statement and reporting terms

- **Balance Sheet:**

A financial statement that provides a snapshot of a company's assets, liabilities, and equity at a specific point in time.

- **Income Statement:**

A financial statement that reports a company's financial performance over a specific period, showing revenues, expenses, and net income.

- **Cash Flow Statement:**

A financial statement that shows how a company's cash has been generated and used over a specific period.

- **Reconciliation:**

The process of comparing two sets of records, typically a company's cash book and its bank statement, to ensure they match.

Other key terms

- Depreciation:

An expense that recognizes the decrease in value of a long-term asset over time.

- Accounts Payable:

Money a company owes to its suppliers for goods or services received on credit.

- Accounts Receivable:

Money owed to a company by its customers for goods or services delivered on credit.

- Budget:

A financial plan for a defined period, used to estimate revenue and expenses.

CAPITAL AND REVENUE ITEMS

Capital items are non-recurring expenses or receipts that provide a long-term benefit (over more than one accounting period), such as purchasing a building or receiving a long-term loan. Revenue items are recurring expenses or receipts from day-to-day operations that provide short-term benefits within a single accounting year, such as salaries or revenue from sales. This classification is crucial for accurate financial reporting.

Capital items

- Description:

Transactions related to acquiring or improving long-term assets, with benefits that last for more than one accounting period.

- Purpose:

To acquire or enhance a business's productive capacity and long-term earning power.

- Financial Statement:

Capital expenditures are recorded on the balance sheet as assets, and capital receipts are also part of the balance sheet.

- Examples:

- Expenditures: Purchasing land, buildings, or machinery; major renovations; and legal fees for asset acquisition.
- Receipts: Money from issuing shares, long-term loans, or selling fixed assets.

Revenue items

- Description:

Transactions related to the day-to-day operations of a business, with benefits that are realized within the current accounting period.

- Purpose:

To maintain the business's regular activities and generate current income.

- Financial Statement:

Revenue expenditures are recorded on the profit and loss (income) statement. Revenue receipts also appear on the profit and loss account.

- Examples:
 - Expenditures: Salaries, wages, rent, utilities, and inventory purchases.
 - Receipts: Revenue from the sale of goods, interest received, and commission received.

MEASUREMENT, VALUATION AND ACCOUNTING ESTIMATES

Measurement is the process of quantifying transactions and events in monetary terms, while valuation is the process of assigning a dollar amount to items, often using specific standards or a monetary surrogate. Accounting estimates are educated guesses needed when precise measurement is impossible, involving subjective assumptions and measurement uncertainty to estimate monetary amounts for financial statements.

Measurement and valuation

- Measurement: The process of assigning a monetary value to a transaction or event. It involves identifying the item, selecting a standard (like historical cost), and evaluating its dimension.
- Valuation: The process of determining the monetary worth of an asset, liability, or equity. Accountants use various valuation methods, such as assigning a dollar amount based on judgments about future events, to perform this process.

Accounting estimates

- Definition: Monetary amounts in financial statements that are subject to measurement uncertainty because they involve assumptions about future events.
- Purpose: To provide a reasonable approximation for items that cannot be measured precisely. Estimates are necessary for many financial statement items, such as the allowance for uncollectible receivables or the useful life of an asset.
- Examples:
 - Depreciation and useful life of an asset
 - Bad debt expense and allowances for expected credit losses
 - Inventory obsolescence
 - Provisions for warranty repairs or litigation costs
- Changes: When circumstances change, estimates may need to be updated. These changes are accounted for prospectively (going forward) rather than retrospectively (restating prior periods), unless the change is also a change in accounting policy, according to IAS 8.

The relationship between them

- Valuation relies on measurement principles and the use of estimates to arrive at a dollar amount.
- Accounting estimates are the tools used in the valuation process when exact figures are unavailable. For instance, estimating the "value in use" of an asset is an accounting estimate used in valuation and impairment testing, according to IFRS Community.
- The specific assumptions and judgments used in accounting estimates are crucial for accurately measuring and valuing a company's financial position, as explained by RSM Global.

SOURCE DOCUMENTS IN ACCOUNTING

Source documents in accounting are original records that provide evidence of a financial transaction and include details like the date, amount, and parties involved. Common examples include invoices, receipts, bank statements, and purchase orders, which are used to verify transactions and are essential for audits and accurate financial reporting. These documents can be physical papers or electronic records.

Purpose of source documents

- **Evidence of transaction:** They prove a financial transaction has occurred.
- **Audit trail:** They create a paper or digital trail to support financial records, which is critical for auditors to verify accuracy.
- **Accuracy:** They help ensure transactions are categorized correctly in the accounting system.
- **Compliance:** They provide proof of legitimate business expenses and are necessary for compliance with regulations.

Examples of source documents

- **Invoices:** Bills sent to customers for payment or received from a supplier.
- **Receipts:** Proof of payment for a purchase.
- **Bank statements:** Records of all transactions within a bank account.
- **Purchase orders:** Documents used to approve a purchase.
- **Checks:** Written for payment or received as payment.
- **Deposit slips:** Proof of money being put into a bank account.
- **Timecards/timesheets:** Document employee hours worked.
- **Credit/Debit notes:** Documents that adjust the amount owed between two parties.
- **Payroll records:** Information on employee wages and deductions.

THEORY BASE OF ACCOUNTING

The theory base of accounting is the set of fundamental principles, concepts, and conventions that provide the foundation for recording and reporting financial transactions. It ensures uniformity, comparability, and reliability in accounting by providing a common framework, which includes concepts like the business entity concept, money measurement concept, going concern concept, and matching concept.

Key concepts and principles

- **Business Entity Concept:** A business is considered a separate legal entity from its owners.
- **Money Measurement Concept:** Only transactions that can be expressed in monetary terms are recorded in the books of accounts.
- **Going Concern Concept:** It is assumed that a business will continue to operate indefinitely in the future.
- **Matching Concept:** Expenses should be matched with the revenues earned during the same accounting period to calculate profit or loss accurately.
- **Accrual Concept:** Revenues and expenses are recognized when they are earned or incurred, not necessarily when cash is exchanged.
- **Consistency Concept:** Accounting methods and practices should be applied consistently from one period to the next to allow for valid comparisons.
- **Full Disclosure Convention:** All significant and relevant information must be fully and completely disclosed in the financial statements.
- **Materiality Convention:** Only information that is significant enough to affect a user's decision needs to be disclosed.

Importance

- Provides a framework for recording transactions in a consistent and uniform way.
- Enhances the reliability and comparability of financial information for different users.
- Prevents manipulation and errors in financial statements.
- Helps in making correct financial decisions.

DOUBLE ENTRY SYSTEM & ACCOUNTING EQUATION

*The double-entry system is a bookkeeping method where every financial transaction is recorded in at least two accounts with equal and opposite debits and credits. This method is based on the fundamental accounting equation, **Assets = Liabilities + Equity**, ensuring that the equation remains balanced after every transaction. It provides accuracy and a complete financial picture by capturing both sides of each transaction.*

Double-entry system

- **How it works:** For every transaction, debits must always equal credits.
- **Dual recording:** Each transaction affects at least two different accounts to maintain the balance.

- **Benefits:** *This system is the foundation of modern accounting because it reduces errors, provides an audit trail, and makes financial statements more reliable.*
- **Debit and credit rules:** *Debits are recorded on the left side of an account, while credits are on the right.*
 - **Debits increase** *assets and expenses, and* **decrease** *liabilities, equity, and revenues.*
 - **Credits increase** *liabilities, equity, and revenues, and* **decrease** *assets and expenses.*

Accounting equation - The equation:

Assets = Liabilities + Equity

Assets=Liabilities+Equity

- **Meaning:** *The total value of a company's assets must equal the total value of its liabilities plus its owner's equity.*
- **Role in double-entry:** *The double-entry system ensures this equation always remains in balance, as each transaction is recorded with equal debits and credits that affect both sides of the equation.*
- **Error detection:** *If the equation becomes unbalanced, it indicates an error has been made in the bookkeeping process.*

JOURNAL & LEDGER

A journal and a ledger are both fundamental accounting tools that record financial transactions, but they serve different purposes and are used in a specific order. The journal is the book of original entry, recording transactions chronologically as they happen, while the ledger is the principal book of accounts that classifies and summarizes these transactions into individual accounts, a process called posting.

Journal

- **Function:**

The journal is the first place a transaction is recorded. It's the "book of original entry," capturing all financial transactions in the order they occur.

- **Format:**

Each entry includes the date, the accounts to be debited and credited, and a brief narration to explain the transaction.

- **Process:**

The process of recording an entry in the journal is called "journalizing".

- **Purpose:**

It provides a chronological record of every financial event, making it easier to trace transactions and ensure nothing is missed.

Ledger

- **Function:**

The ledger is a collection of all the business's accounts (e.g., cash, accounts receivable, equipment). It summarizes the journal entries by classifying them into their respective accounts. It's often called the "book of second entry".

- **Format:**

Transactions are posted from the journal to individual accounts in the ledger. Each account in the ledger shows the debit and credit transactions that affect it, along with a running balance.

- **Process:**

The process of transferring information from the journal to the ledger is called "posting".

- **Purpose:**

The ledger provides a classified and summarized view of each account, allowing businesses to see the total balance of each account and prepare financial statements like the balance sheet and income statement.

Key Differences at a glance

Feature	Journal	Ledger
<i>Role</i>	<i>Book of original entry; subsidiary book</i>	<i>Principal book of accounts; book of second entry</i>
<i>Order</i>	<i>Chronological record of day-to-day transactions</i>	<i>Analytical record, summarizing transactions by account</i>
<i>Timing</i>	<i>Transactions are recorded first in the journal</i>	<i>Transactions are posted to the ledger after being journalized</i>
<i>Narration</i>	<i>Includes a narration for each transaction</i>	<i>Does not include narrations</i>
<i>Balancing</i>	<i>Not balanced</i>	<i>Each account is balanced to show a final balance</i>

TRIAL BALANCE

A trial balance is an internal accounting document that lists the balances of all general ledger accounts at a specific point in time. It is used to verify the mathematical accuracy of a company's double-entry bookkeeping system. The fundamental rule is that the total of all debit balances must equal the total of all credit balances.

Purpose

- Ensures mathematical accuracy. A trial balance is prepared to confirm that total debits equal total credits, a fundamental principle of double-entry accounting. If the totals do not match, it indicates a mathematical error in the ledger postings.
- Basis for financial statements. The final, accurate trial balance serves as the starting point for preparing formal financial reports, such as the income statement and balance sheet.
- Detects errors. While it doesn't find all errors, an out-of-balance trial balance is a strong indicator of an error that needs to be investigated and corrected.
- Summarizes account balances. It provides a clear summary of all the company's accounts in one place, which is useful for accountants and management.

Components and format

A trial balance is typically presented as a two-column worksheet, with the following information:

- Company Name: The name of the business.
- Report Title and Date: Clearly labeled as "Trial Balance" and indicating the specific date for the account balances.
- Account Names: A list of all general ledger account titles.
- Debit Column: Lists the ending debit balances for all accounts that have a normal debit balance (Assets, Expenses, and Dividends).
- Credit Column: Lists the ending credit balances for all accounts that have a normal credit balance (Liabilities, Equity, and Revenue).
- Total Debits and Credits: The sums of both the debit and credit columns, which must be equal.

How to prepare a trial balance

1. Balance all ledgers. First, calculate the closing balance for every account in the general ledger.
2. List accounts. Create a worksheet with columns for account names, debits, and credits.
3. Transfer balances. List each account's ending balance in the appropriate debit or credit column.
 1. Assets and Expenses: These typically have debit balances. Examples include Cash, Accounts Receivable, and Rent Expense.

2. Liabilities, Equity, and Revenue: These typically have credit balances. Examples include Accounts Payable, Common Stock, and Sales Revenue.
4. Sum the columns. Calculate the total of the debit column and the total of the credit column.
5. Check for equality. Confirm that the total debits equal the total credits. If they do, the trial balance is arithmetically correct. If not, an error must be found and corrected.

SUBSIDIARY BOOKS

Subsidiary books, also called special journals or daybooks, are specialized accounting books used to record high-volume, similar transactions separately from the general journal. Examples include the Cash Book for all cash transactions, the Purchase Book for credit purchases, and the Sales Book for credit sales. By dividing transactions into categories, subsidiary books improve efficiency, accuracy, and organization in a company's bookkeeping.

Common types of subsidiary books

- **Cash Book:** Records all cash receipts and payments. A Petty Cash Book is often used for small, miscellaneous expenses.
- **Purchase Book:** Records only credit purchases of goods.
- **Sales Book:** Records only credit sales of goods.
- **Purchase Return Book:** Records goods returned by the business to its suppliers.
- **Sales Return Book:** Records goods returned by customers to the business.
- **Bills Receivable Book:** Records all bills and promissory notes that are to be received by the business.
- **Bills Payable Book:** Records all bills and promissory notes that are to be paid by the business.
- **Journal Proper:** A catch-all for any transaction that doesn't fit into the other specialized books, such as opening and closing entries, depreciation, and credit purchases of assets.

Benefits of using subsidiary books

- **Efficiency:** Allows for the speedy and organized recording of a large number of similar transactions.
- **Accuracy:** Reduces errors by making it easier to track specific types of transactions.
- **Organization:** Keeps the general journal uncluttered and easier to manage.
- **Division of labour:** Enables multiple employees to work on different books simultaneously, speeding up the bookkeeping process.
- **Convenient posting:** Simplifies the process of posting transactions to the general ledger.

RECONCILIATION STATEMENTS

A reconciliation statement is a financial document used to compare two sets of records to ensure they match and to explain any discrepancies. A bank reconciliation statement is the most common type, where a company compares its internal cash book balance with the balance shown on its bank statement to identify errors, missing transactions, or fraud.

Purpose of a reconciliation statement

- **Verifies accuracy:**

It confirms that the cash balance in a company's records matches the balance on its bank statement.

- **Identifies discrepancies:**

It highlights differences caused by timing, such as deposits in transit or outstanding checks, and other issues like errors, bank fees, or interest.

- **Detects fraud:**

Regular reconciliation helps uncover unauthorized activity, fraud, or manipulation.

- **Maintains financial health:**

It provides a clear picture of a company's cash position, which is crucial for financial planning and decision-making.

Common reasons for differences

- **Deposits in transit:**

Money recorded by the company but not yet processed by the bank.

- **Outstanding checks:**

Checks written by the company that have not yet been cashed by the recipient.

- **Bank fees and charges:**

Bank service fees deducted from the account that the company may not have recorded yet.

- **Interest earned:**

Interest paid to the account by the bank, which may not have been recorded in the company's books.

- **Errors:**

Mistakes in recording transactions on either the company's books or the bank statement.

RECTIFICATION OF ERRORS

Rectification of errors is the process of correcting mistakes in accounting records to ensure financial statements are accurate. This involves identifying and correcting errors such as miscalculations, omissions, or incorrect postings by using journal entries to reverse wrong entries and make the correct ones. Errors are classified into types like errors of principle, omission, and commission, and can be fixed either by direct adjustment, passing a journal entry, or using a temporary suspense account.

How to rectify errors

- **Correcting mistakes immediately:** If an error is found soon after an entry is made, it can be corrected by crossing out the wrong information and writing the correct details, with the accountant's initials, says The National Institute of Open Schooling (NIOS).
- **Passing a rectifying journal entry:** When an error is not obvious, a journal entry is passed to correct the accounts. This involves identifying the correct entry, the wrong entry, and comparing them to determine the necessary correction.
 - The process involves cancelling the effect of the wrong entry and applying the correct effect, as shown in this example from BYJU'S and this example from Weebly.
- **Using a suspense account:** If a trial balance doesn't agree, a suspense account is used to temporarily hold the difference. Once the error is found, a journal entry is made to correct the mistake and clear the balance from the suspense account.

Types of errors

- **Errors of Omission:** A transaction is completely missed from the books, as described in this document from Indian Institute of Commerce Lakshya.
- **Errors of Commission:** An error occurs in the recording or posting of a transaction, such as an incorrect amount or a wrong account being debited or credited.
- **Errors of Principle:** A transaction is recorded that violates accounting principles, such as treating a capital expenditure as a revenue expense, says this document from Physics Wallah.
- **Compensating Errors:** Two or more errors occur that cancel each other out, so the trial balance still agrees despite the errors, notes this document from ICA Edu Skills.

Why rectification is important

- Ensures the financial statements accurately reflect the company's true financial position.
- Maintains the dependability and reliability of accounting records.
- Upholds accounting standards and principles.
- Builds confidence among stakeholders, such as investors and creditors.

FINAL ACCOUNTS OF SOLE TRADER

The final accounts of a sole trader consist of the Trading Account, Profit and Loss Account, and Balance Sheet, which are prepared at the end of an accounting period to determine the business's profitability and financial position. The Trading Account calculates the gross profit or loss, the Profit and Loss Account determines the net profit or loss by deducting indirect expenses from gross profit, and the Balance Sheet presents the business's assets, liabilities, and capital.

1. Trading Account

- **Purpose:** To calculate the gross profit or gross loss from the buying and selling of goods.

- **Key components:**
 - **Debit Side:** Opening stock, purchases (less returns), and direct expenses like carriage inwards.
 - **Credit Side:** Sales (less returns) and closing stock.
- **Calculation:** Gross Profit = Net Sales - Cost of Goods Sold (COGS).

2. Profit and Loss Account

- **Purpose:** To calculate the net profit or net loss of the business by accounting for all indirect incomes and expenses.
- **Key components:**
 - **Debit Side:** All indirect expenses, such as salaries, rent, advertising, and depreciation.
 - **Credit Side:** All indirect incomes, such as commission received, interest received, and the gross profit from the Trading Account.
- **Calculation:** Net Profit = Gross Profit + Indirect Incomes - Indirect Expenses.

3. Balance Sheet

- **Purpose:**

To show the financial position of the business on a specific date by listing all its assets, liabilities, and capital.

- **Key components:**
 - **Assets:** Items owned by the business, like cash, debtors, and machinery.
 - **Liabilities:** The amount owed by the business to others, such as creditors and loans.
 - **Capital:** The owner's investment in the business, adjusted for net profit or loss and any drawings.
- **Format:**

It is a statement where the total assets must always equal the total liabilities plus capital (

Assets=Liabilities+Capital).

SINGLE ENTRY SYSTEM

A single-entry system is a simple accounting method where each transaction affects only one account, typically by just tracking cash inflows and outflows. It is often used by small businesses and individuals because it is easy to maintain and primarily requires a cash book. However, it is considered an incomplete record, as it lacks the double-entry debit-credit structure and makes comprehensive financial analysis difficult.

Key characteristics

- **One-sided transactions:** Only one side of a transaction is recorded. For example, a cash sale is recorded as cash received, without a corresponding entry for the sale itself.
- **Primary focus on cash:** The system mainly records cash receipts and payments, along with personal accounts for debtors and creditors.
- **Incomplete records:** It does not provide a complete financial picture, as it omits many impersonal accounts like real and nominal accounts.
- **Profit calculation:** Profit is typically calculated by comparing the business's capital at the end of a period to the capital at the beginning, adjusting for any drawings or additional capital introduced.

Advantages

- **Simplicity:** It is a straightforward and easy-to-understand system that does not require specialized accounting knowledge.
- **Low maintenance:** It is quick and easy to maintain, often using simple tools like a notebook or a spreadsheet.
- **Good for small businesses:** It is suitable for small businesses and individuals who need a basic way to track their cash flow.

Disadvantages

- **Lack of financial insight:** It does not provide enough information for comprehensive financial analysis, such as understanding profitability or financial position.
- **High risk of error:** The system is prone to inaccuracies and fraud due to the absence of a cross-referencing double-entry structure.
- **Difficulty with auditing:** It is difficult to audit accurately because it doesn't provide a complete picture of the business's financial health.
- **Unsuitable for growth:** It becomes inadequate as a business grows and its financial activities become more complex.

FINAL ACCOUNTS OF NPO

The final accounts for a non-profit organization (NPO) consist of three main statements: the Receipts and Payments Account, the Income and Expenditure Account, and the Balance Sheet. The Receipts and Payments Account is a summary of all cash transactions, while the Income and Expenditure Account determines the surplus or deficit for the year, similar to a profit and loss account for businesses. The Balance Sheet shows the organization's financial position, including its assets, liabilities, and capital fund.

1. Receipts and Payments Account

- **Purpose:**

To summarize all cash receipts and payments over a specific period.

- **Format:**

It's a summary of the Cash Book, with all cash receipts on the debit side and all cash payments on the credit side.

- **Basis:**

It's based on the cash basis of accounting, so it includes both capital and revenue items, and receipts/payments from previous, current, or future years, as long as they were actual cash transactions.

- **Balance:**

It begins with the opening cash and bank balance and ends with the closing cash and bank balance.

2. Income and Expenditure Account

- **Purpose:**

To determine the surplus or deficit for the period, showing whether the organization's income exceeded its expenses.

- **Format:**

It's prepared on the accrual basis and is similar to a profit and loss account.

- **Basis:**

It only includes revenue items for the current period (e.g., subscription, donations, and expenses like salaries) and excludes capital receipts and payments.

- **Balance:**

The resulting surplus (if income > expenditure) or deficit (if expenditure > income) is transferred to the Balance Sheet.

3. Balance Sheet

- **Purpose:**

To present a snapshot of the organization's financial position on a specific date, showing its assets, liabilities, and net worth.

- **Format:**

Similar to a business balance sheet, with assets on one side and liabilities on the other.

- **Basis:**

It shows the actual value of assets and liabilities at the end of the accounting year.

- **Balance:**

The surplus or deficit from the Income and Expenditure Account is added to or deducted from the capital fund. Other items, such as legacies and life membership fees, are also added to the capital fund.

FINANCIAL STATEMENTS (FIRMS/LLP & CO-OPERATIVE SOCIETIES)

Financial statements for partnerships, Limited Liability Partnerships (LLPs), and cooperative societies differ significantly based on their legal structure and regulatory requirements in India.

Partnership firms

A partnership is a business formed by two or more people in agreement to share profits and losses, as governed by the Indian Partnership Act, 1932.

Financial statements

The primary financial statements for a partnership firm, prepared at the end of each financial year, include:

- **Trading Account:** Shows the gross profit or gross loss from the firm's direct business operations.
- **Profit and Loss (P&L) Account:** Shows indirect income and expenses to determine the net profit or net loss.
- **Profit and Loss Appropriation Account:** This statement is unique to partnerships. It details how the net profit is distributed among partners, including adjustments for:
 - Interest on capital
 - Interest on drawings
 - Partner salaries or commissions
- **Partners' Capital and Current Accounts:** These separate accounts track each partner's capital contributions, withdrawals, interest on capital, salary, and share of profits or losses.
- **Balance Sheet:** Reflects the firm's financial position at the end of the accounting period, listing assets, liabilities, and partners' capital.

Audit requirements

A tax audit is mandatory for a partnership firm if its annual turnover exceeds ₹1 crore (for most businesses) or its gross receipts exceed ₹50 lakh (for professionals).

Limited Liability Partnerships (LLPs)

An LLP is a hybrid structure with the benefits of limited liability and the flexibility of a partnership, governed by the Limited Liability Partnership Act, 2008.

Financial statements

LLPs must maintain books of accounts on either a cash or accrual basis. They are required to file the following with the Ministry of Corporate Affairs (MCA):

- **Statement of Account and Solvency (Form 8):** Filed annually by October 30, this contains a statement of the LLP's assets, liabilities, income, and expenditure.
- **Annual Return (Form 11):** Filed annually by May 30, summarizing the LLP's partners and management.

Accounting standards and format

- LLPs are not required to follow the Indian Accounting Standards (Ind AS) mandatory for large companies.
- Instead, they are expected to adhere to the Accounting Standards (AS) issued by the Institute of Chartered Accountants of India (ICAI).
- The ICAI has also issued a Guidance Note to prescribe formats for LLP financial statements, standardizing the presentation of the balance sheet and profit and loss account.

Audit requirements

An LLP requires an audit by a Chartered Accountant only if:

- Its annual turnover exceeds ₹40 lakh, or
- Its partner contribution exceeds ₹25 lakh.

Cooperative societies

Cooperative societies are member-driven organizations governed by the Societies Registration Act, 1860, and relevant state cooperative laws.

Financial statements

Financial statements for a cooperative society focus on providing transparency to members, not maximizing profit. Key statements include:

- **Income and Expenditure Account:** This statement is similar to a P&L account but uses accrual-based accounting to show a surplus or deficit, not profit or loss. It is presented at the Annual General Meeting (AGM).
- **Balance Sheet:** Shows the society's financial position, detailing assets, liabilities, and members' equity.
- **Cash Flow Statement:** Tracks the movement of cash within the society.
- **Members' Equity Statement:** Details changes in members' ownership stakes, including contributions and retained earnings.

Audit requirements

- **Mandatory audit:** All cooperative societies are required to undergo an annual audit.
- **Auditor:** The audit is conducted by a qualified cooperative auditor or a Chartered Accountant.
- **Purpose:** The audit ensures proper financial management, transparency, and compliance with the relevant Cooperative Societies Act and regulations.
- **Reserve fund:** A minimum of 25% of any annual surplus must be allocated to a statutory reserve fund.

IFRS

IFRS, or International Financial Reporting Standards, are a set of global accounting rules for how public companies prepare their financial statements. They are developed by the International

Accounting Standards Board (IASB) to create a common accounting language that increases transparency and allows investors to compare the financial performance of companies across different countries. IFRS are currently used in more than 140 countries.

- **Purpose:** To provide a single set of high-quality, understandable, and globally accepted accounting standards to increase the comparability and transparency of financial information worldwide.
- **Issuer:** They are issued by the IFRS Foundation and the International Accounting Standards Board (IASB).
- **Scope:** IFRS govern how specific transactions and events should be reported in financial statements. They are used by more than two-thirds of the G20 countries and the European Union.
- **Goal:** To ensure that financial statements are reliable and comparable, helping investors make better decisions.
- **Key component:** They are a comprehensive framework that promotes consistency, comparability, and accountability in financial reporting.
- **Relationship to IAS:** IFRS replaced older standards called International Accounting Standards (IAS), which were also developed by the IASB.

ACCOUNTING STANDARDS

Accounting standards are a set of rules and guidelines that define how financial transactions are reported, recognized, measured, and presented in financial statements. They ensure clarity, consistency, and comparability of financial information, which is critical for investors, regulators, and other stakeholders.

Major accounting standard bodies

International Accounting Standards Board (IASB)

- **Mission:** To develop and promote International Financial Reporting Standards (IFRS) for global use.
- **Standards:** IFRS provide a common accounting language to enhance transparency and comparability worldwide. Over 100 countries require or permit the use of IFRS, but the U.S. is a notable exception.
- **Approach:** IFRS are principle-based, which requires professional judgment and interpretation when applying the standards.

Financial Accounting Standards Board (FASB)

- **Mission:** To issue Generally Accepted Accounting Principles (GAAP) used by public companies in the U.S..
- **Standards:** U.S. GAAP is a comprehensive set of rules and procedures that govern how financial information is recorded. Non-U.S. companies listed on U.S. exchanges must also comply with GAAP.

- **Approach:** U.S. GAAP is largely rules-based, providing specific guidelines that can reduce ambiguity.

Governmental Accounting Standards Board (GASB)

- **Mission:** To establish accounting standards for U.S. state and local governments.
- **Focus:** GASB's standards cover areas unique to governmental organizations, such as reporting on financial accountability and compliance with laws and regulations.

Key differences between IFRS and GAAP

Feature	International Financial Reporting Standards (IFRS)	Generally Accepted Accounting Principles (GAAP)
Issuer	International Accounting Standards Board (IASB)	Financial Accounting Standards Board (FASB)
Approach	Principle-based: Relies on a broad conceptual framework and professional interpretation.	Rules-based: Provides more specific and detailed rules.
Inventory valuation	Last-in, First-out (LIFO) method is generally prohibited.	LIFO is a permissible method for valuing inventory.
Development costs	Capitalized if certain conditions are met, such as demonstrating future economic benefits.	Typically treated as an expense in the period they are incurred.
Application	Used in more than 100 countries, including the European Union.	Used primarily by companies in the United States.

The importance of accounting standards

- **Comparability:** By standardizing financial reporting, standards enable stakeholders to compare the financial performance of different companies, whether domestically or internationally.
- **Transparency and accuracy:** Standards reduce the potential for bias and misrepresentation by establishing a common framework for reporting financial information.
- **Investor confidence:** Adherence to recognized standards gives investors and creditors more confidence in the financial information presented by a company, which helps global capital markets to function more efficiently.

- **Regulatory compliance:** Standards help companies comply with regulatory requirements, providing a benchmark for accounting accuracy that agencies can use for enforcement.

FINANCIAL STATEMENT OF COMPANIES

A company's financial statements are formal records that detail its financial activities and performance over a specified period. These documents are used by investors, creditors, and management to assess the company's financial health, performance, and outlook.

There are four primary financial statements:

- Balance Sheet
- Income Statement
- Statement of Cash Flows
- Statement of Changes in Equity

Balance sheet

The balance sheet provides a snapshot of a company's financial position at a single point in time, reporting its assets, liabilities, and owners' equity. It is based on the fundamental accounting equation:

Assets = Liabilities + Owner's Equity

- **Assets:** Resources a company owns that have economic value and are expected to provide future benefits.
 - **Current Assets:** Assets expected to be converted into cash within one year, such as cash, accounts receivable, and inventory.
 - **Noncurrent Assets:** Long-term investments not expected to be converted into cash in the short term, such as property, plant, and equipment.
- **Liabilities:** The company's obligations to external parties.
 - **Current Liabilities:** Obligations due within one year, such as accounts payable and short-term loans.
 - **Noncurrent Liabilities:** Long-term obligations, such as bonds payable and deferred tax liabilities.
- **Owner's (or Shareholder's) Equity:** The residual interest in the assets after deducting liabilities. It represents the owners' stake in the company.

Income statement

The income statement, also known as the profit and loss (P&L) statement, reports a company's revenues, expenses, gains, and losses over a specific period. It measures profitability and shows whether a company made a profit or incurred a loss.

Key components include:

- **Revenue:** The total income generated from the company's core operations.

- **Cost of Goods Sold (COGS):** The direct costs attributable to the production of the goods or services sold.
- **Gross Profit:** The difference between revenue and COGS.
- **Operating Expenses:** Costs not directly tied to production, such as selling, general, and administrative expenses.
- **Net Income:** The "bottom line," which is the company's total earnings after all expenses and taxes have been deducted from total revenue.

Statement of cash flows

The statement of cash flows tracks all the cash and cash equivalents entering and leaving a company over a specific period. It provides insight into the company's liquidity and short-term viability.

Cash flows are broken down into three sections:

- **Operating Activities:** Cash generated from the normal day-to-day business operations.
- **Investing Activities:** Cash flows from the purchase and sale of long-term assets and other investments.
- **Financing Activities:** Cash flows related to obtaining and repaying capital, such as issuing or repurchasing stock, and taking out or paying back loans.

Statement of changes in equity

This statement details the changes in the value of the company's equity from the beginning to the end of an accounting period. It shows the transactions that affect the owners' or shareholders' stake in the company.

Changes often come from:

- Net income or loss from the income statement
- Payment of dividends to shareholders
- Issuing new shares or repurchasing existing ones

CASH FLOW STATEMENT

A cash flow statement is a financial document that provides an overview of how cash and cash equivalents moved in and out of a business during a specific period. It is a critical report for assessing a company's financial health, illustrating its ability to generate cash to pay its debt obligations, fund its operating expenses, and finance its growth.

Unlike an income statement, which is based on accrual accounting, the cash flow statement focuses on actual cash receipts and cash payments. It is divided into three sections that represent the company's primary activities:

- Operating Activities
- Investing Activities
- Financing Activities

Components of a cash flow statement

Cash Flow from Operating Activities

This section reports the cash generated from a company's core business operations. It shows how much cash is produced from the company's primary revenue-generating activities.

- **Cash inflows:** Cash received from customers for the sale of goods and services.
- **Cash outflows:** Cash paid for expenses such as wages, taxes, and raw materials.

Cash Flow from Investing Activities

This section includes cash flows related to the purchase and sale of long-term assets and other investments. It reflects how a company uses its cash to grow the business.

- **Cash inflows:** Cash received from selling long-term assets (e.g., equipment, property) or selling investments.
- **Cash outflows:** Cash paid to purchase long-term assets or to acquire investments in other companies.

Cash Flow from Financing Activities

This section details the cash flows between a company and its owners and creditors. It reveals how the company raises capital and pays it back.

- **Cash inflows:** Cash received from issuing stock, borrowing money from banks, or issuing bonds.
- **Cash outflows:** Cash paid to repay loans, repurchase stock, or pay dividends to shareholders.

Methods for preparing a cash flow statement

There are two methods for presenting the cash flow from operating activities:

- **Indirect Method:** This is the more common method. It starts with the company's net income from the income statement and adjusts for non-cash items (like depreciation and amortization) and changes in working capital (like accounts receivable and payable) to arrive at the net cash flow from operations.
- **Direct Method:** This method provides a clearer picture of cash transactions by listing major cash receipts and payments directly. Examples include cash received from customers and cash paid to suppliers.

Why is a cash flow statement important?

- **Assesses Liquidity:** It provides insight into a company's ability to cover its short-term obligations by tracking actual cash movements.
- **Provides Financial Insight:** It offers a clearer view of a company's financial health than an income statement alone, which can be affected by non-cash items.
- **Helps Predict Future Cash Flows:** The statement's detailed breakdown of cash sources and uses can help analysts and investors predict future cash flows, which is crucial for valuation.

- **Aids in Strategic Planning:** For business owners, understanding cash flow helps in making strategic decisions regarding liquidity, efficiency, and growth.

PROFESSIONAL ETHICS FOR ACCOUNTANTS

Professional ethics for accountants are a set of fundamental principles guiding their conduct, including integrity, objectivity, professional competence and due care, confidentiality, and professional behavior. These principles require accountants to be honest, impartial, and competent, while respecting client confidentiality and acting in a way that upholds the profession's reputation.

Core principles of professional ethics for accountants

- **Integrity:** Be honest, straightforward, and truthful in all professional and business relationships. This involves avoiding misleading information and acting with good faith.
- **Objectivity:** Make professional judgments free from bias, conflict of interest, or undue influence from others.
- **Professional competence and due care:** Maintain the knowledge and skills needed to provide competent service, and act diligently and in accordance with applicable standards and regulations. This includes a duty to pursue continuous professional development.
- **Confidentiality:** Respect the confidentiality of information acquired through professional relationships and do not disclose it to third parties without proper authority, unless there is a legal or professional right or duty to do so. This also means not using confidential information for personal advantage.
- **Professional behavior:** Comply with relevant laws and regulations and avoid any conduct that could discredit the accounting profession.

Why professional ethics are important

- **Builds public trust:** Ethical behavior reinforces the public's confidence in financial reporting and the integrity of the profession.
- **Prevents fraud and mismanagement:** Ethical conduct helps deter fraud, financial mismanagement, and other unethical practices.
- **Minimizes legal risk:** Adhering to ethical standards helps accountants and their firms avoid legal problems.
- **Upholds the profession's reputation:** Ethical accountants act in the public interest and maintain the credibility and reputation of the accounting profession as a whole.